Next, we need to determine the purpose of long-term investments and what the company intends to do with them.

A major reason can be to maintain liquidity and emergency. However, this cannot be as high as 20-30% of assets. It should be a relatively lower amount.

If the company is making investments for no specific purpose and generating a good return on investments, we do not need to dig deeper.

But if the company accumulates investments in the long term for a specific purpose, then the purpose needs to be understood. As seen, the company here accumulated cash to acquire another company.

Next, the form of investments (Debt, MF, Equity) needs to be known and compared with the purpose. Also, what kind of investment does management invest in?

If there are a lot of illiquid assets, the company should not plan to use them immediately. If there are a lot of debt assets, the company may intend to use them sooner.

The asset selected for long term assets show any potential utilization plans as well as risk willingness of the company.